

Receive Brazil 5s10s: a 14.25% Selic priced to stay

DV01-neutral 5s10s steepener in BR prefixado — paid +2.8 bp/3m to own the repricing of a cutting cycle the curve ignores.
21 Jul 2026 · local-currency sovereign curve RV · data and code: em-curve-rv repo

Trade	receive BR 5y, pay BR 10y (prefixado, NTN-F basis), DV01-neutral	Direction	steepener
Sizing	1.00 notional in 5y per 1.00 of 10y (zero-coupon DV01 basis)	Entry	5y 14.67% / 10y 14.71% → slope +3.9 bp
Carry + roll	+2.8 bp / 3m per unit DV01; 0.06 per unit of 3m vol (49.6 bp)	Invalidation	slope −17.0 bp (1σ of 5y levels against; σ = 20.9 bp)
Horizon	3m, rolled while thesis holds	Key risk	placeholder — R2

THESIS

OWNER — rewrite in your voice
placeholder — R2 scaffold

WHAT IS PRICED

placeholder — R2

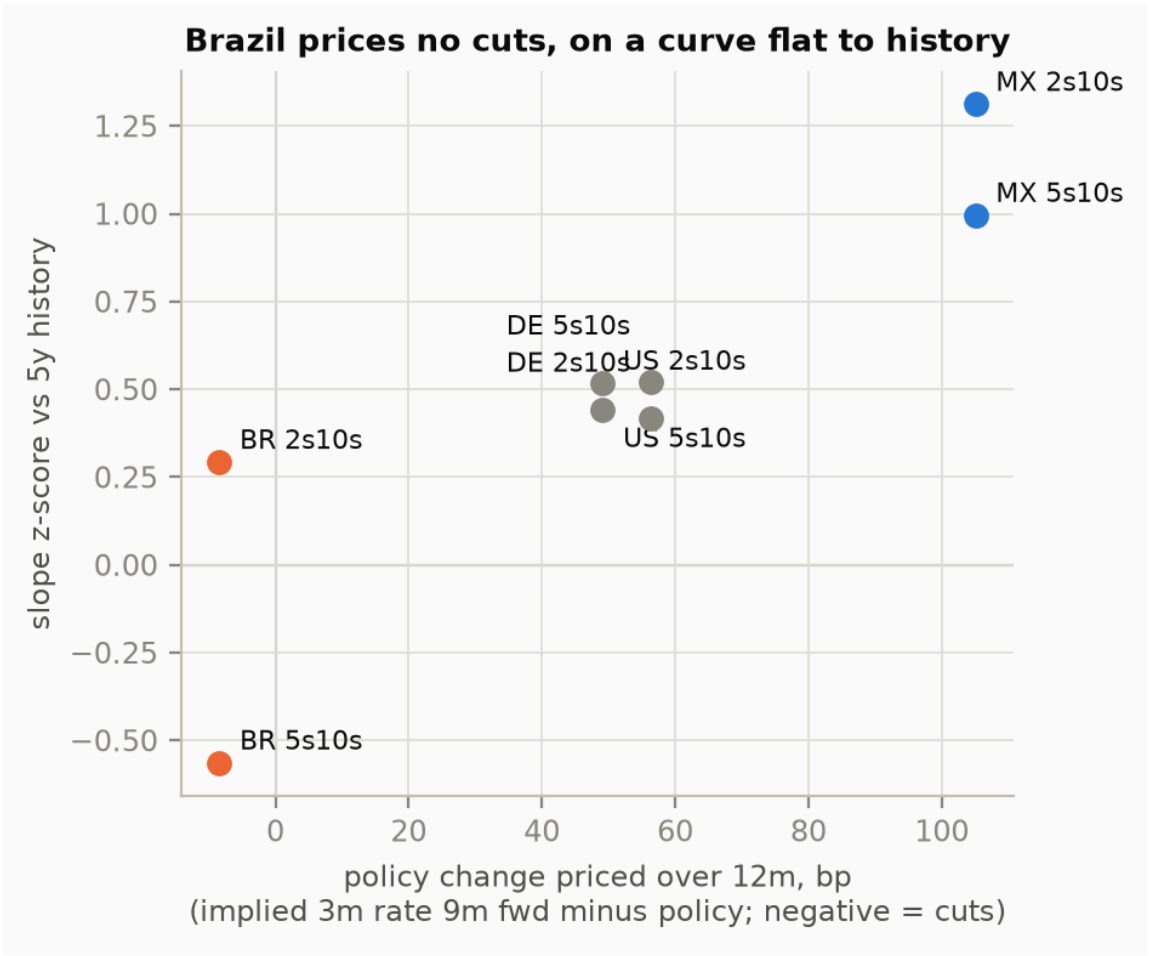


Figure 1: placeholder caption — R2

placeholder — R2

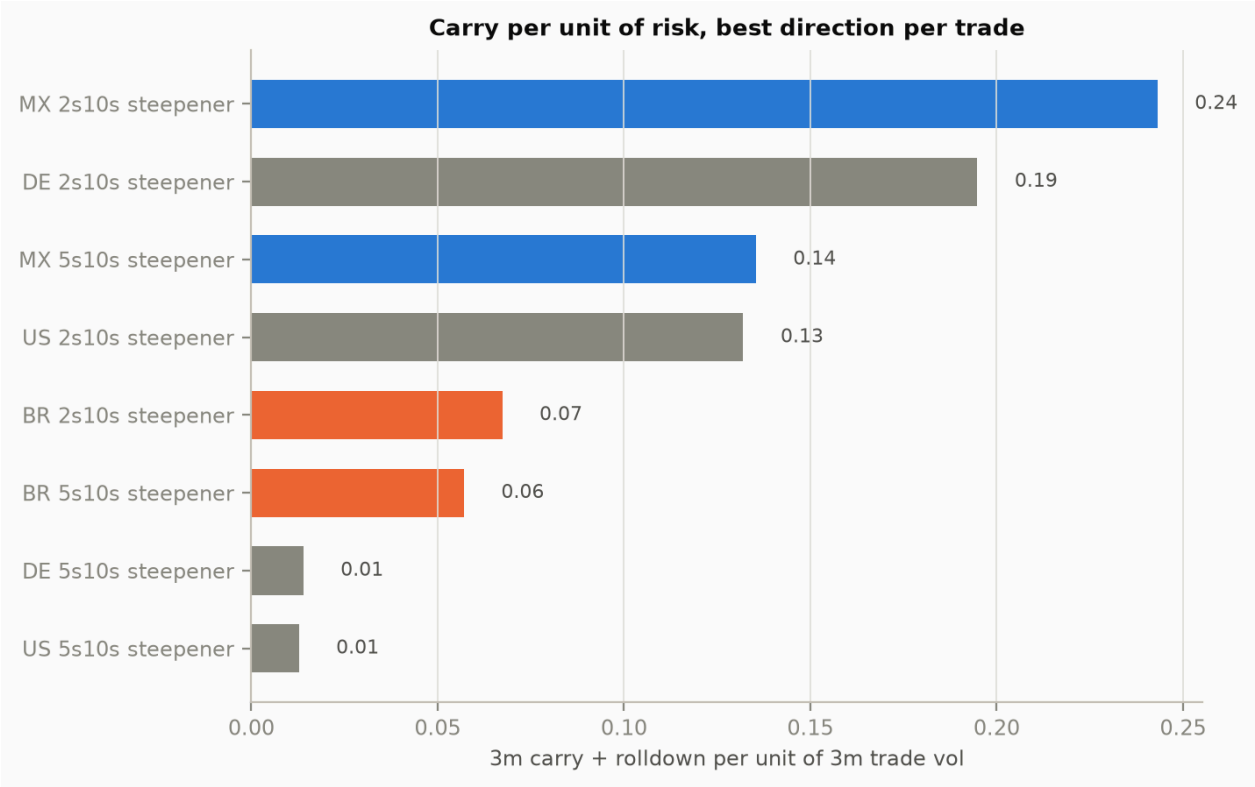


Figure 2: placeholder caption — R2

CROSS-MARKET STATE

Trade	Pol- icy %	Path 12m bp	Slope bp	z (CVR) bp/3m	Vol bp	C/V	Exit bp	
MX 2s10s	6.81	+105	+139	+1.31	+17.2	71	0.24	+26
MX 5s10s	6.81	+105	+50	+1.00	+6.4	47	0.14	+11
US 2s10s	3.88	+49	+43	+0.52	+3.4	26	0.13	-13
US 5s10s	3.88	+49	+31	+0.44	+0.2	18	0.01	+10
BR 2s10s	14.25	-8	+50	+0.29	+4.1	61	0.07	-6
BR 5s10s	14.25	-8	+4	-0.56	+2.8	50	0.06	-17
DE 2s10s	2.31	+56	+44	+0.42	+3.4	18	0.19	-4
DE 5s10s	2.31	+56	+34	+0.52	+0.1	10	0.01	+17

WHAT KILLS IT

placeholder — R2

CATALYSTS

OWNER — rewrite in your voice
placeholder — R2 scaffold

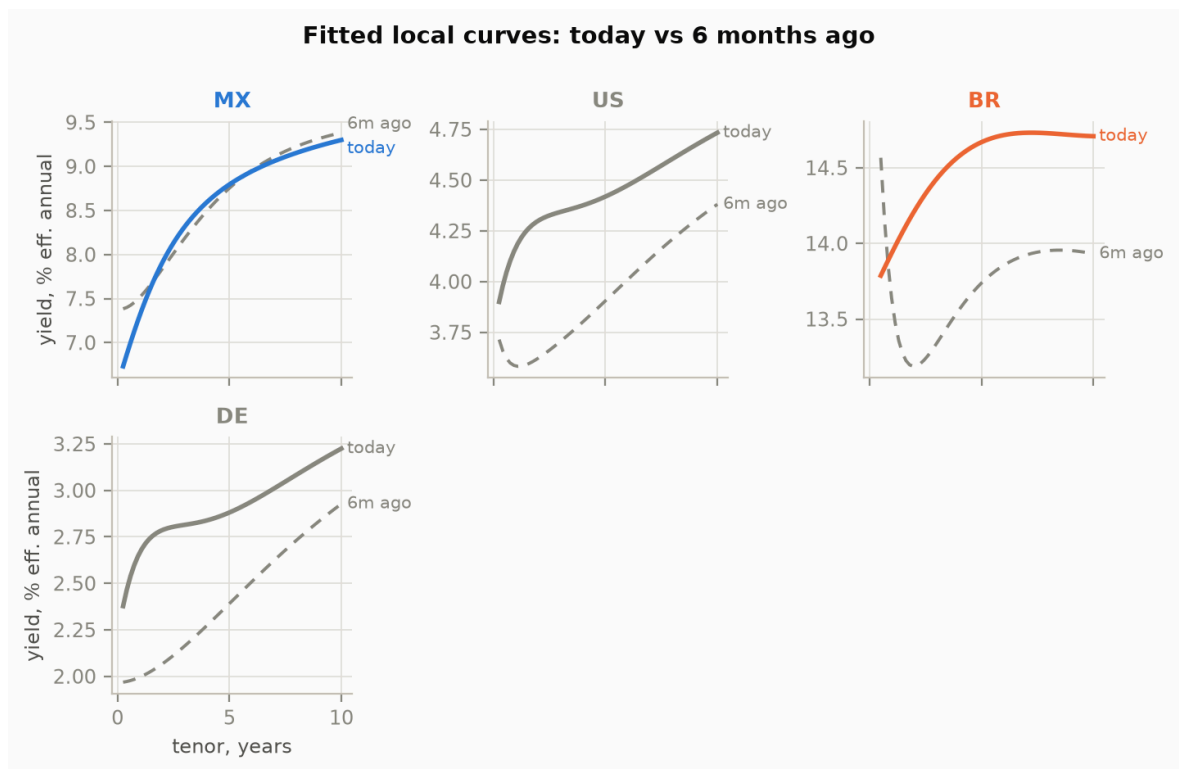


Figure 3: placeholder caption – R2

APPENDIX A — METHOD AND CONVENTIONS

placeholder — R2

APPENDIX B — FIT QUALITY AND DATA CAVEATS

Curve	Days	Median RMSE bp
MX	1522	9.0
US	1638	3.5
BR	1494	3.4
DE	1529	published params

placeholder — R2

APPENDIX C — POLICY-PATH METRIC COMPARISON

Country	Forward-path bp	Naive 2x(1y-policy) bp
MX	+105.1	+100.3
US	+49.1	+58.9
BR	-8.4	-62.1
DE	+56.3	+71.9

placeholder — R2

APPENDIX D — PROVENANCE

Every number in this note maps to a generated variable:

variable	value	source
date	21 Jul 2026	last cached BR fit date
br_policy	14.25	fetchers.load('br_policy'), latest, effective annual
mx_policy	6.81	fetchers.load('mx_policy'), latest, effective annual
us_policy	3.88	fetchers.load('us_policy'), latest, effective annual
de_policy	2.31	fetchers.load('de_policy'), latest, effective annual
br_path12	-8.4	analytics.path_12m_bp(BR latest fit, policy)
br_naive	-62.1	analytics.naive_cuts_bp — appendix comparison only
br_slope	+3.9	BR 5s10s fitted slope, latest
br_slope_mean5y	+15.7	5y mean of BR 5s10s slope
br_sigma5y	20.9	5y stdev of BR 5s10s slope levels
br_z	-0.56	analytics.slope_zscore(BR 5s10s)
br_carry	+2.8	analytics.trade_carry_roll_bp(BR, 5, 10, steepener)
br_vol	49.6	analytics.trade_vol_3m_bp(BR 5s10s)
br_vol_wk	34.9	analytics.weekly_vol_3m_bp(BR 5s10s)
br_cv	0.06	carry / vol, BR 5s10s steepener
br_inval	-17.0	analytics.invalidation_bp(BR 5s10s)
br_y5	14.67	fitted BR 5y yield, latest
br_y10	14.71	fitted BR 10y yield, latest
br_ratio	1.00	analytics.dv01_neutral_ratio — 5y notional per 1.00 of 10y
br_rmse	3.4	median BR fit RMSE
mx_cv	0.24	carry / vol, MX 2s10s steepener
mx_carry	+17.2	analytics.trade_carry_roll_bp(MX, 2, 10, steepener)
mx_vol	70.8	analytics.trade_vol_3m_bp(MX 2s10s)
mx_vol_wk	71.1	analytics.weekly_vol_3m_bp(MX 2s10s)
mx_z	+1.31	analytics.slope_zscore(MX 2s10s)
mx_slope	+139.2	MX 2s10s fitted slope, latest
mx_path12	+105.1	analytics.path_12m_bp(MX)
box_level	-27.5	BR minus US 5s10s fitted slope
box_z	-0.75	analytics.slope_zscore(BR-US 5s10s box)
box_corr	-0.00	daily slope-change correlation
kill_move	-20.9	invalidation minus entry slope
kill_quarters	7.4	[invalidation move] / quarterly carry
kill_beta	-0.00	cov/var of daily d(5s10s) on d(3m2y front slope), full sample
rb_1y	-7.6	DECISIONS.md one-off ANBIMA cross-check
rb_5y	-23.1	DECISIONS.md one-off ANBIMA cross-check
rb_10y	-19.3	DECISIONS.md one-off ANBIMA cross-check

placeholder — R2